

- N.B.** (1) All questions are compulsory
(2) Figures to the right indicate full marks.

Q.I CASE STUDY

[10 Marks]

SmartMart is a mid-sized online retail company in India specializing in lifestyle products. While the company enjoyed steady growth in its early years, it began facing increased competition from larger e-commerce platforms offering deep discounts and hyper-personalized shopping experiences.

To stay competitive, SmartMart's leadership decided to invest in **AI-powered marketing solutions**. They implemented the following **core components of AI marketing**:

1. **Customer Data Platforms (CDP):** All customer data from website visits, purchase history, social media interactions, and customer support tickets was consolidated into a single platform.
2. **Predictive Analytics:** AI algorithms forecasted product demand trends based on seasonality, past purchase patterns, and emerging market trends.
3. **Personalization Engines:** Product recommendations were tailored to individual customer preferences in real time.
4. **Chatbots & Virtual Assistants:** AI-driven chatbots handled 70% of customer queries, providing instant answers and upselling relevant products.
5. **Automated Campaign Management:** AI selected the best time, channel, and content for sending promotional messages to each customer.

Benefits observed within 6 months:

- **Increased Sales Conversion Rate** by 18% due to personalized recommendations.
- **Customer Retention Improved** by 22% through targeted loyalty programs.
- **Reduced Marketing Costs** by 15% due to AI-led campaign optimization.
- **Faster Customer Response Time** reduced to under 10 seconds for online queries.

However, SmartMart also faced challenges, such as the need for skilled staff to interpret AI outputs and occasional privacy concerns from customers about data usage. The management is now considering expanding AI use into visual search and voice-based shopping.

Questions:

Q.1) Based on the case, explain how each **core component of AI-powered marketing** contributed to SmartMart's improved performance. Provide specific examples from the case.?

Q.2) Analyze the **benefits of AI in marketing** for SmartMart and assess which benefit had the most strategic long-term impact. Justify your answer.?